

Venus Pipes & Tubes Ltd

Concall-Tracker report · Screener ticker VENUSPIPES (NSE: VENUSPIPES, BSE: 543528) · 12 earnings-call transcripts read (FY24 → Q1 FY27) · prepared 01 Sep 2026

1. Snapshot

What the business does (one line): Venus makes **stainless steel pipes and tubes** at Bhuj, Gujarat — both **welded** (rolled from sheet and seam-welded) and **seamless** (pierced from solid billet, higher-value) — for oil and gas, chemicals, petrochemicals, power, pharmaceuticals and other process industries. It is now adding **fittings** and **pipe spooling** (pre-assembled pipe sections) to sell a more complete package.

Figure	Value	Plain-English read
Market capitalisation	₹3,395 cr (price ₹1,643)	What the whole company is worth. The share has ranged ₹888–1,875 over the past year.
Price-to-earnings	32.7x ; dividend negligible	About 33 times last year's profit — a growth rating for a company whose profit has not grown in five quarters (see below).
Q1 FY27 revenue (Jun'26 qtr)	₹321 cr, up 16% YoY	A record quarter, against ₹276 cr a year earlier. The top line keeps compounding.
Q1 FY27 operating profit	₹52 cr, margin 16%	The margin has now been 16% for six consecutive quarters — a point an analyst raised directly on the call.
Q1 FY27 net profit	₹26 cr, up just 4% YoY	The defining figure. Quarterly profit has been ₹25 cr, ₹26 cr, ₹26 cr, ₹26 cr and ₹26 cr across five quarters — completely flat while revenue rose from ₹276 cr to ₹321 cr.
Why profit is flat	Interest ₹11 cr; depreciation ₹7 cr per quarter	Interest has climbed from ₹8 cr and depreciation from ₹4 cr as the debt-funded expansion was built. The extra gross profit from higher sales is being absorbed by the cost of the assets that produced it.
FY26 (full year)	₹1,167 cr revenue, ₹102 cr profit	Revenue up 22% on FY25's ₹959 cr, but profit up only 10% from ₹93 cr.
Five-year revenue path	₹387 → 552 → 802 → 959 → 1,167 cr	FY22 to FY26 — tripled in four years. The growth record on revenue is genuinely strong.
Order book	~₹800 cr	₹600 cr in pipes and fittings, up from about ₹450 cr a quarter earlier, plus a ₹185 cr letter of intent for the spooling project. Roughly two-thirds of a year's revenue, and growing fast.
Capacity utilisation	Welded ~60%; seamless ~85–90%	Substantial headroom in welded pipe; seamless, the higher-value line, is close to full — which is what the new capacity addresses.
Net debt	~₹325 cr ; further ~₹100 cr capex planned	Against ₹102 cr of annual profit. Manageable, but it is the reason interest costs have doubled and profit has stalled.

2. Concall coverage

Twelve earnings-call transcripts were read, oldest to newest, covering roughly three years to the latest call. The same three executives present each time: Arun Kothari (Managing Director), Dhruv Patel (Whole-Time Director) and Kunal Bubna (CFO).

Quarter	Call date	Revenue / margin / PAT	Read?
Q1 FY25 (Jun 2024)	Aug 2024	₹240 cr · 20% · ₹28 cr	Yes
Q2 FY25 (Sep 2024)	Nov 2024	₹229 cr · 18% · ₹24 cr	Yes
Q3 FY25 (Dec 2024)	Feb 2025	₹231 cr · 16% · ₹18 cr	Yes
Q4 & FY25 (Mar 2025)	May 2025	FY25 ₹959 cr · 17% · ₹93 cr	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹276 cr · 16% · ₹25 cr	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹292 cr · 16% · ₹26 cr	Yes
Q3 FY26 (Dec 2025)	Feb 2026	₹297 cr · 16% · ₹26 cr	Yes
Q4 & FY26 (Mar 2026)	Jun 2026	FY26 ₹1,167 cr · 16% · ₹102 cr	Yes
Q1 FY27 (Jun 2026)	10 Aug 2026	₹321 cr · 16% · ₹26 cr	Yes — latest

Span: twelve calls over about three years. Transcripts are filed with both exchanges and posted on the company website, with audio recordings alongside.

2b. Latest concall highlights — Q1 FY27 (call held 10 Aug 2026) ★

- **Record revenue, unchanged profit:** revenue **₹321 cr, up 16%**, operating profit ₹52 cr at a 16% margin, and profit after tax **₹26 cr — up only 4%**, and the same figure the company has reported for five consecutive quarters. Interest of ₹11 cr and depreciation of ₹7 cr a quarter are absorbing the growth.
- **The order book jumped:** **₹600 cr** in pipes and fittings against roughly ₹450 cr a quarter earlier — a ₹150 cr increase in three months — plus a **₹185 cr letter of intent** for the new spooling project, taking the total to about **₹800 cr**.
- **Capacity headroom is uneven:** welded pipe is running at only **~60%** utilisation while seamless, the higher-value product, is at **85–90%**. The expansion completed at the end of May 2026 added seamless and fittings capacity — targeting exactly the constrained line.
- **Margin: the analyst question of the call.** One participant noted that "last 6 or 7 quarters, we've seen that margins have been in the same 16%" range. Management's answer was candid rather than defensive: the intent is **18% within two years**, but **FY27 "should be less than 17%"**. Fittings is a new business still going through customer approvals, with volumes expected only from Q2 onward.
- **Guidance maintained, debt disclosed:** the roughly **20% revenue growth guidance for FY27 was reaffirmed**. Net debt stands at about **₹325 cr** with a further **₹100 cr** of capex planned. Exports are around 30% of sales, and management flagged **data centres** as a new source of stainless demand alongside oil and gas, chemicals, power and pharmaceuticals.

2c. Business mix & capacity (quick facts)

Domestic vs export: exports are around **30%** of revenue, with analysts on the call asking whether that could reach 40–45% by year-end. The remaining ~70% is domestic, sold into Indian process industries. Management frames the opportunity as India becoming a manufacturing and sourcing destination, which supports both halves.

Product mix — the strategic shift: from commodity **welded** pipe toward higher-value **seamless** pipe, and now beyond pipe altogether into **fittings** and **pipe spooling** (pre-fabricated, pre-assembled pipe assemblies). Management describes the goal as "a comprehensive stainless steel engineering platform... the first reference and preference for stainless steel engineering solution". End markets are oil and gas, chemicals, petrochemicals, power, pharmaceuticals and process industries, with **data centres** newly cited.

Capacity utilisation — disclosed precisely: **welded ~60%, seamless ~85–90%**. That split explains the whole capital programme: the profitable line is nearly full while the commodity line has a third of its capacity idle. The expansion completed at end-May 2026 added seamless and fittings capacity, and a further ~₹100 cr of capex is planned. Fittings is not yet contributing — customer approvals are still in process, with first volumes expected from Q2 FY27. Plain read: the company has built the capacity for its next phase but the higher-margin products that justify it are not yet selling.

3. Earning Trigger thesis ★

The intended driver is a **move up the value chain** — from commodity welded pipe into seamless pipe, then into fittings and pre-fabricated spooling — sold into oil and gas, chemicals, pharmaceuticals and now data centres. The supporting evidence on the top line is strong: revenue has tripled from ₹387 cr in FY22 to ₹1,167 cr in FY26 and grew another 16% in Q1 FY27; the order book jumped from about ₹450 cr to ₹600 cr in a single quarter, with a further ₹185 cr letter of intent for spooling; seamless capacity runs at 85–90% so the expansion completed in May 2026 addresses a genuine constraint. **What has not happened is any increase in earnings.** Quarterly profit has been ₹25–26 cr for five consecutive quarters while revenue rose 16%, because interest has climbed to ₹11 cr and depreciation to ₹7 cr per quarter as the debt-funded capacity was built. Net debt is ₹325 cr with another ₹100 cr of capex to come. The margin, meanwhile, has been pinned at 16% for six or seven quarters — and management, asked directly, said FY27 would be *below* 17%, with the 18% ambition two years out. So the trigger is real but currently mid-J-curve: the assets are built and paid for with borrowings, and the higher-margin products that justify them (fittings, spooling) are still awaiting customer approvals.

Trigger	What management said	Evidence so far	Horizon	Strength
Order book growth	₹600 cr in pipes and fittings plus ₹185 cr spooling LOI — about ₹800 cr	Up from ~₹450 cr in one quarter — a ₹150 cr increase. Roughly two-thirds of annual revenue and the strongest forward signal available	FY27–FY28	Strong
Seamless capacity expansion	Expansion completed end-May 2026, adding seamless and fittings capacity	Well targeted — seamless was already at 85–90% utilisation. Built, but not yet earning	FY27	Strong
Fittings business	New line; approvals under way; "from this second quarter onward a few volume from the side of fittings should also come"	Zero revenue so far. Customer qualification in stainless fittings is slow and the timeline has already reached Q2 FY27	FY27–FY28	Moderate
Spooling project	₹185 cr letter of intent secured	An LOI, not an order. A genuinely new capability that would broaden the offer if it converts	FY27–FY28	Moderate
Welded capacity headroom	Running at ~60%	A third of the commodity line is idle — volume can rise substantially with no further	Now	Moderate

		investment, though at lower margin		
Margin improvement to 18%	"The intent is to take it to 18% in coming 2 years"; FY27 "should be less than 17%"	Not happening yet. Margin has been 16% for six or seven quarters, and management guided FY27 <i>below</i> 17%	FY28–FY29	Unproven
Rising financing and depreciation cost	Net debt ~₹325 cr; further ~₹100 cr capex planned	The reason profit is flat. Interest ₹8 cr → ₹11 cr and depreciation ₹4 cr → ₹7 cr per quarter over two years	Now	Key drag
Export growth to 40–45%	Exports currently ~30%; analysts probing whether it reaches 40–45%	No commitment given. Exports are a stated opportunity rather than a guided target	Unclear	Unproven

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22 → FY26	Scale the stainless pipe business	Revenue ₹387 cr → ₹1,167 cr, tripled in four years with no down year	Delivered
FY26	Complete the seamless and fittings capacity expansion	Completed at the end of May 2026 , on the timetable described	Delivered
FY27	Revenue growth of about 20%	Guidance reaffirmed on the latest call; Q1 delivered 16%, so it needs to accelerate	On track, tight
Ongoing (multi-year)	Operating margin to reach 18%	Not delivered. Margin has been 16% for six or seven consecutive quarters. The 18% target remains "coming 2 years" away — the same distance as before	Repeatedly deferred
Q1 FY27	—	Asked directly about the stuck margin, management answered plainly that FY27 would be less than 17% rather than defending the 18% aspiration	Candid
Q1 FY27	—	Disclosed capacity utilisation by product line (welded ~60%, seamless ~85–90%) and net debt of ~₹325 cr without being pressed	Candid
FY26–FY27	Fittings to begin contributing	Still awaiting customer approvals; first volumes now expected from Q2 FY27	Slipping
FY25 → FY27	—	Profit has not grown for five quarters (₹25–26 cr each), and FY26 profit rose only 10% on 22% revenue growth	Earnings stalled

Narrative drift: The strategy has been steady and is being executed physically — revenue tripled in four years, the seamless and fittings expansion was completed at the end of May 2026 as described, the order book has grown from about ₹450 cr to ₹800 cr including the spooling letter of intent, and the FY27 revenue guidance of roughly 20% was reaffirmed rather than trimmed. Management's disclosure is also good: they publish utilisation separately for welded and seamless lines, state net debt without being asked, and when an analyst pointed out that margins had been stuck at 16% for six or seven quarters, they did not defend the 18% aspiration but said plainly that FY27 would come in below 17%. That is an honest answer to an uncomfortable question. The drift is in one dimension and it is the one

that matters most to shareholders: **the margin promise keeps receding while earnings stand still**. The 18% target has been "two years away" for some time and is still two years away. Quarterly profit has been ₹25–26 cr for five consecutive quarters despite revenue rising 16%, because the interest and depreciation from a ₹325 cr net-debt expansion are consuming the incremental gross profit. Management is building competently and reporting honestly; it has simply not yet turned any of it into earnings growth.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

The ingredients of a trigger are visibly in place. Revenue has tripled from ₹387 cr to ₹1,167 cr in four years and grew another 16% in Q1 FY27. The order book leapt from roughly ₹450 cr to ₹600 cr in a single quarter, with an additional ₹185 cr letter of intent for spooling — about ₹800 cr in total, or two-thirds of a year's sales. Seamless capacity, the higher-value line, was running at 85–90% and the expansion completed in May 2026 relieves exactly that constraint, while welded still has 40% headroom needing no further investment. The move into fittings and pre-fabricated spooling is a sensible climb up the value chain, and data centres add a new demand source. But a trigger has to reach earnings, and here it has not: **quarterly profit has been ₹25–26 cr for five consecutive quarters** while revenue rose 16%, because interest has grown to ₹11 cr and depreciation to ₹7 cr per quarter servicing a ₹325 cr net-debt expansion, with another ₹100 cr of capex still to come. The margin has been pinned at 16% for six or seven quarters, and management itself guided FY27 to below 17%. This is a company mid-way through a capital cycle: the assets are built and being paid for, and the products meant to justify them — fittings, spooling — are still in customer qualification. If fittings volumes arrive from Q2 FY27 and margin starts climbing toward 18%, this becomes a Yes. Today the earnings have not moved for over a year.

Management consistent? → MAYBE

On execution and disclosure this management does well. The capacity expansion was completed at the end of May 2026 as described, revenue has tripled in four years without a down year, the order book has been grown substantially, and the FY27 revenue guidance of about 20% was reaffirmed rather than quietly reduced after a 16% quarter. They also make themselves easy to check: utilisation is published separately for welded and seamless lines, net debt was stated without prompting, and the fittings timeline was given specifically. Most tellingly, when an analyst observed that margins had sat at 16% for six or seven quarters and asked how to think about FY27 and FY28, management did not retreat into the 18% aspiration — they said FY27 would be *less than 17%*. Deflating your own target in answer to a hostile question is the right behaviour. What holds this at Maybe is that the target keeps being deflated without ever being reached. The 18% margin has been described as roughly two years away for some time and remains roughly two years away; the fittings contribution has slipped to Q2 FY27; and across five quarters of reaffirmed strategy and completed capex, reported profit has not moved at all. Honest and competent on the build, unproven on converting it into shareholder earnings.

Prepared from twelve Venus Pipes & Tubes Ltd earnings-call transcripts, Q1 FY25 (Aug 2024) through Q1 FY27 (10 Aug 2026), sourced from Screener.in; all figures as disclosed by management on those calls or from Screener.in financial statements. **This is not investment advice. Do your own due diligence.**